

<i>Income tax slab (in Rs.)</i>	<i>Tax</i>
0 to 5,00,000	No tax
5,00,001 to 10,00,000	20%
Above 10,00,000	30%

Fig 2.5: Income Tax Slabs as of FY 2015-16

In most cases, Income Tax is deducted before you are paid your income. This is popularly known as Tax Deduction at Source²² (TDS) i.e. tax is deducted at source of money generation. In spite of this, there may be other sources that are likely to generate income for you through the year e.g. Income from FD / RD interest earned, Rental income and so on, which may not be a part of your regular income, and hence may not get taxed at source. Therefore, the government has made it mandatory for every income earning citizen to file Income Tax Returns²³ (ITR) at the end of the financial year. All declaration of total income, any other adjustments to the taxes paid are all done while filing your Income Tax Returns

Capital Gain (Loss) Tax

Unlike regular or active income, a capital gain is an income derived from the sale of any investment or capital asset²⁴. A capital investment or a capital asset can be a home, a farm, a ranch, a family business, or a work of art, for instance.

The capital gain is the difference between the money received from selling the asset and the price paid for it.

The capital gains tax is different from almost all other forms of taxation in that it is a voluntary tax, in one way. Since the tax is paid only when an asset is sold, taxpayers can legally avoid payment by holding on to their assets — a phenomenon known as the "lock-in effect." For example, if the price of your home keeps growing, you do not have to pay a capital gains tax on the capital asset that you "still possess," but you will have to pay a capital gains tax once you sell the house.